Failure and Opinion Decomposition: Matched Unweighted

Warned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.016873*	0.000425	0.016785	0.028659**
	(0.010167)	(0.002887)	(0.019716)	(0.013215)
p	0.0984	0.8831	0.3955	0.0311
Observations	1,763	1,763	1,763	1,763

Warned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	0.017911*	0.025753	0.017486*
	(0.009814)	(0.019869)	(0.009739)
p	0.0693	0.1962	0.0739
Observations	1,763	1,763	1,763

MAO / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.016670	-0.016670	-0.016670	-0.016670
	(0.034673)	(0.034673)	(0.034673)	(0.034673)
p	0.6311	0.6311	0.6311	0.6311
Observations	1,763	1,763	1,763	1,763

MAO / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.016670	-0.016670	-0.016670
	(0.034673)	(0.034673)	(0.034673)
p	0.6311	0.6311	0.6311
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.